

**Segment 3 : Strategy Formulation, Implementation,
Evaluation, and Control**

Topic 1 : Strategy Formulation

Topic 2 : Strategy Implementation

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1.1 Introduction

As we have learnt, strategic management is the process by which an organisation determines what needs to be done to achieve corporate objectives and, more importantly, how these objectives are to be met. It is a process by which senior management examines the external business environment to analyse opportunities and threats as well as its internal functional areas to identify its strengths and weaknesses. Thereafter, it attempts to establish an appropriate and optimal 'fit' between the two to ensure the organisations' success and to have an edge over competitors.

Strategic management includes managerial decision-making and planning for an organisation as a whole.

The strategic management process is an important function that leads to the development of effective strategies. It is a formalised and rational management process to establish a road map for the firm to anticipate changes and respond to the uncertain business environment.

Organisations follow this process to formulate and implement strategies, plans and policies to counter competitors and external threats or identify new opportunities to gain competitive advantage. This process of strategic management includes environmental scanning, strategy formulation, strategy implementation, and evaluation and control to attain organisational goals.

These four phases of strategic management are:

1. Defining business mission, purpose, and objectives
2. Strategic formulation
3. Strategic implementation
4. Strategic evaluation and control

These four phases are sequentially interrelated. Each successive phase provides feedback to the previous phases. These are called phases, rather than stages or steps, to signify that each phase has a co-relation and co-existence. Each phase must be monitored and provided with feedback to make changes -- if any deviation occurs in the strategy or the previous phase.

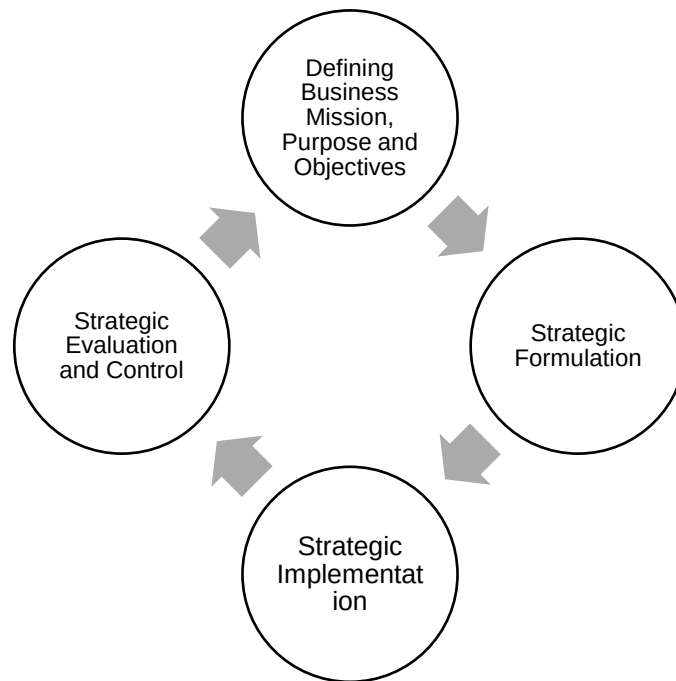


Fig 1: Strategic Management Process

Learning Objectives:

After studying this topic, you will be able to:

- Explain the concept of the strategic formulation.
- Describe the personal characteristics of a leader that supports the implementation.
- Recall the concept of Strategic Business Units (SBU's).
- Restate strategic implementation.
- Identify reasons for the failure of strategies.
- Explain methods to overcome failures.

1.2 Strategy Formulation

Strategy Formulation is that phase of the strategic management process where the organisation sets long-term goals to help the firm avail opportunities identified in the external business environment by using its internal capabilities.

1.2.1 Strategic Management Process:

1. Defining business vision, mission, purpose, and objectives are critical to lay the foundation of strategic management. The organisation has to create its corporate identity and define its corporate social responsibility that states what it brings to society. Its own business ethics and values should be communicated through its goals and objectives. The end result is the establishment of a vision, mission, and hierarchy of objectives according to the strategic intent.
2. In the strategy formulation phase, environmental appraisal, and organisational appraisal deal with finding out opportunities and threats operating in the environment. The organisation's strengths and weaknesses must be identified to match the opportunities and threats. This needs to be done in a manner that opportunities can be availed of, and the impact of threats neutralised or defended -- to capitalise on the organisational strengths and minimise the weaknesses.
3. Strategic alternatives and choices are required for evolving alternate strategies out of the many possible options and choose the most appropriate strategy or strategies -- in light of environmental opportunities, threats, and corporate strengths and weaknesses. The end result is the choice of strategy which the organisation is going to execute.
4. To implement a strategy, the strategic plan is put into action through its various sub-processes.
5. The last phase of strategic evaluation and control is basically tracking and monitoring the process. Strategy may be reformulated if required.

1.2.2 Need Of Strategy Formulation

- 1) To achieve organisational goals effectively and efficiently
- 2) To become more competitive
- 3) To maximise profits

- 4) To make a large-scale market share

1.3 Process of Strategy Formulation

Strategic formulation is primarily a decision-making process where the organisation decides which strategy or strategies it is going to follow. The formulation process has to look into both the external and internal elements so that a comprehensive strategy can be decided upon. The various steps of the strategic formulation are:

- A. **Establishing Objectives:** The main element of a corporate strategy is the objectives of the firm. These act as a foundation or base.
- B. **Analysing Organisational Environment:** Both the internal and external environments of an organisation should be analysed. Assessment of the external business environment includes political, economic, social, technological, ecological, legal, and regulatory, and global factors etc. Internal assessment includes identifying the strengths and weaknesses of an organisation. It includes identifying the competencies and capabilities of an organisation.
- C. **Organisational Appraisal:** This will help the firm to assess its strengths and weaknesses, especially in comparison with its competitors.
- D. **Setting Quantitative Targets:** In this state, a firm may set quantitative targets for some of its objectives. These quantitative targets can be set as operational targets for the various functional departments. This way, the functional heads can also receive timely feedback.
- E. **Relating Targets to Divisional Plans:** This step of strategy formulation identifies the contribution that can be made by each division associated with a product or service group within the corporation. For this purpose, a provisional strategic plan must be developed for each sub-unit.
- F. **Strategic Alternatives and Choices:** The process of strategic choice is essentially a decision-making process. The strategic choice is based on various objective and subjective factors. The objective factors include all the techniques used, and the subjective factors include the management attitude towards risk, resource availability and the organisational culture. Focusing on alternatives is to narrow down the choice to a manageable number of feasible strategies. Focusing on

alternatives can also be done by visualising the future state and analysing the business definition. Gap analysis is an important element of the choice-making process.

Gap Analysis: Gap Analysis is the identification and analysis of the gap, for an organisation, between its current position and where it wants to reach in the future. A company sets the objective for a future period of time, say 3 to 5 years, and then works backwards to find out how it can reach through the present level of efforts. A gap can be identified by analysing the difference between the projected and desired performance.

When an identified gap is not wide, the organisation has the stability strategy as an option. If the gap is large, expansion strategies are more likely to be followed due to expected environmental opportunities. However, retrenchment strategies may be more suitable if the gap is large due to past poor performance. By focusing on strategic alternatives, and evaluation of strategic alternatives, suitable strategies can be chosen.

Now once the strategy has been decided in the strategic formulation phase, it has to be implemented.

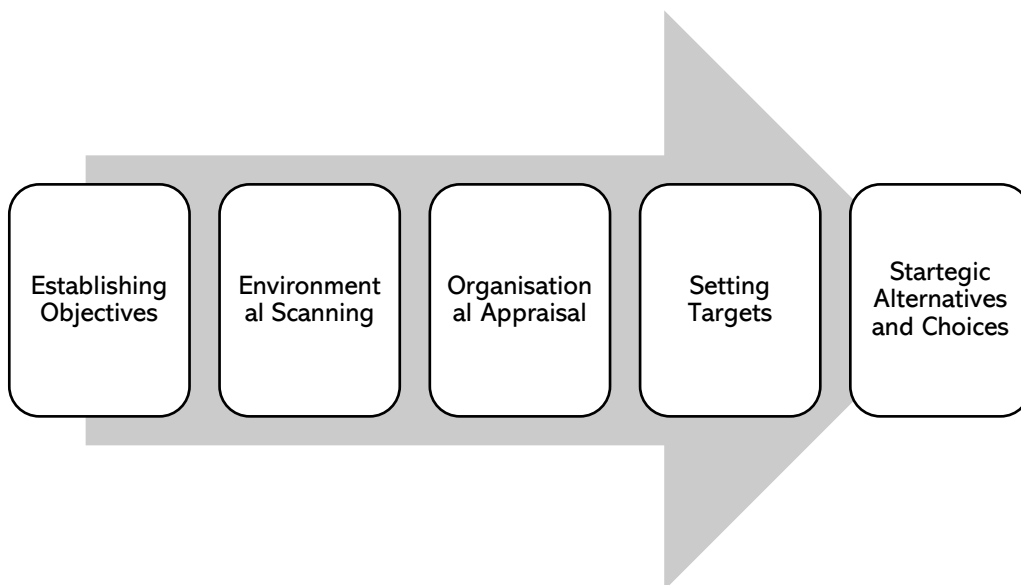


Fig 2: Steps of Strategic Formulation

1.4 Strategy Implementation and Its Stages

We can say that strategic formulation and strategic implementation are interlinked. Strategic implementation is the execution of the strategies which have been chosen in the strategic formulation phase to make operational strategies. Success of any strategy depends, to a large extent, on its implementation. To successfully implement strategies, the organisation must be ready to change.

Strategies are meant for the growth and development of an organisation. Strategy implementation is an actual effort in that direction. Successful strategic implementation requires support, discipline, motivation from all managers and employees.

Strategic implementation is the process of allocation of activities to top executives and SBU leaders. The leader communicates the strategy to the employees. Implementation also involves the development of functional policies about the organisation's structure. It also requires the development of the environment to support the strategy to achieve organisational goals.

Thus, we can say implementation involves actually accomplishing the strategic formula. This includes setting policies, designing the organisation structure, and developing a corporate culture to attain organisational objectives.

According to Straner, Mner and Gray: Implementation of strategies is concerned with the design and management of a system to achieve the best integration of people, structures, processes, and resources in reaching organisational purposes.

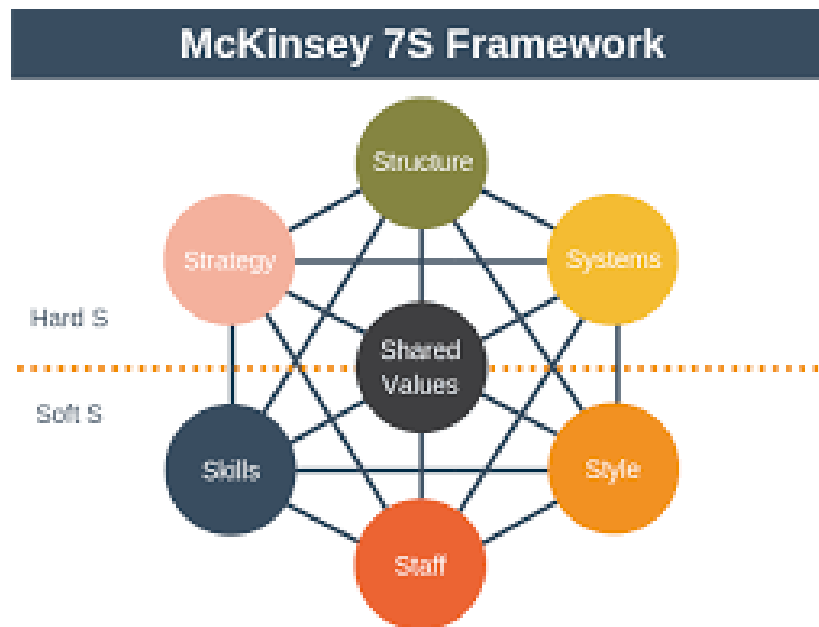
1.4.1 McKinsey's 7S Framework:

A framework of 7S, given by McKinsey, shows the levers or aspects which are important for implementing a strategy. The 7S framework highlights the important role of seven interrelated and interconnected factors within an organisation. As per this theory, the successful implementation of a strategy depends on the right alignment of these seven 'S's'. The seven factors that drive the change in an organisation at a point in time are not fixed or pre-

decided. It depends upon the strategist to identify these seven factors to successfully implement a strategy.

The 7S of the McKinsey model are:

- **Strategy:** A set of decisions and plans aimed at gaining a supportable competitive advantage.
- **Structure:** The organisation structure of the company is based on who reports to whom and how tasks are divided and integrated.
- **System:** The flow of activities involved in the daily operation of a business, including its core processes and its support systems.
- **Style:** Indicates the type of leadership style and behaviour shown by the management.
- **Staff:** The employees who are involved in the strategic implementation should be properly rewarded and motivated.
- **Shared Values:** Commonly held beliefs and assumptions with which an organisation behaves; its corporate culture.
- **Skills:** An organisation's dominant capabilities and competencies.



Source: *expertprogrammanagement.com*

Fig 3: McKinsey 7s Framework

1.5 Reasons for Strategy Failure and Methods to Overcome

The practical application of strategic management, including formulation and implementation, has a few limitations.

Strategic management can prove to be an expensive exercise in terms of time and resources. Managers need to spend a lot of time away from their regular operational responsibilities.

Strategic management requires a thorough analysis of the external business environment. Analysing a complex and dynamic environment is not an easy task. Information on environmental changes, including markets and competitors, is not easily available every time it is required. Companies often have to deal with insufficient information databases.

Problems of Strategy Formulation and implementation can be briefly listed as:

- A. Lack of awareness or no insufficient information.
- B. 'Kidding themselves' syndrome -- no flow of any new information.
- C. Conflict among managers -- where personal interest affects professional interest.
- D. Excessive involvement in everyday operational problems -- no time for studying information.
- E. Resistance to change and lack of cooperation.

A strategy may be well conceived and formulated yet poorly implemented. The problems in implementation may arise because of a clash of personal egos among staff members, lack of coordination among different functional areas, and/or unhelpful top management. Often, those associated with the formulation of strategies are not involved in the implementation of the strategies. Participants whose contribution has been sought and appreciated in some decision-making areas may unexpectedly be ignored later.

One of the major pitfalls of strategic management is a lack of appreciation by the management. If a strategy succeeds, the planning and the executing teams may not get adequate appreciation or reward from the top management.

Strategic planning, which has been formulated and implemented after lot of analysis and effort, may not bring in the required change overnight. There may be stiff resistance to change. Moreover, it may reduce flexibility in the system and individual initiative.

1.5.1 Overcoming Limitations:

- **Choose Carefully:** Organisations should choose to apply strategies judiciously and have an organised, logical, and balanced approach.
- **Be Prepared:** Managers should be proactive in case of any eventualities. The organisation should be prepared for changes in the business environment as well as its internal capabilities.
- **Motivate Employees:** Participation of employees, or their representatives, in strategy formulation leads to a better understanding of the priorities. Different perspectives by group members help in generating alternative strategies and better screening of options. Rewards linked with the implementation of strategic plans can help in bringing about change in the organisation.
- **Manage Change:** Changes are accepted easily if there is maximum employee participation in choosing strategic alternatives. If awareness is created for choosing a particular strategy, then there may be greater support and commitment on their part. The uncertainty associated with change is eliminated in the process.
- **Identify Gaps:** Managers involved in strategic management should identify gaps or weaknesses in their organisation during strategy formulation. In order to make a strategic fit, they should analyse the external business environment and internal capabilities. This also helps identify their strengths and weaknesses and where they can lose out to their competitors. They should identify which areas to focus upon to match the changes happening in the external business environment.
- **Manage Time:** Effective allocation of time and resources to planned activities and efficient coordination and control of tasks also helps in overcoming limitations.
- **Integrated Approach:** A cooperative and integrated approach to tackling issues and opportunities by involving employees at all levels. The employee's participation is critical in the implementation of change.

- **Positive Attitude:** Encouraging a favourable attitude towards change and imparting a degree of discipline, formality, and positivity to employees.
- **Communicate Effectively:** Effective and strong communication of the new strategies and policies to be implemented with a proper dialogue with employees will gain their support and participation. Managers and employees thus become committed to supporting the organisation.

1.6 Strategic Leadership and Its Implementation

Implementation of strategies requires support, discipline, motivation and hard work from all managers and employees. The leadership plays an important role here.

The three important behavioural aspects which have a direct link with the effective implementation of a strategy -- that is, where implementation is carried out as the strategy has been formulated -- are:

- A. **Leadership Style:** Strategic leadership establishes a clear direction. Leaders develop and communicate a vision of the future and inspire the organisation to move in that direction.
- B. **Power and Policies:** Interplay of power and politics has an important role in successfully implementing strategy.
- C. **Organisational Culture:** This reflects how everything and everybody works in an organisation. It is 'The way things are done' in an organisation. It is simply the basis of work done by employees to put anything into action.

1.6.1 Leadership Implementation:

Strategic leadership is the ability to anticipate, envision, and empower others to create strategic change. Strategic leadership is the process of providing the direction and inspiration necessary to create or sustain an organisation.

Strategic leadership's position in the strategy's success is highly substantial. It has repeatedly been observed that leadership plays a critical role in the success or failure of an enterprise. In fact, it has been considered as one of the most important elements affecting organisational performance.

Albert King traces the historical development of leadership theories and identifies nine evolutionary eras. Each era focuses on a specific theme of leadership. These nine areas are as follows:

1. Personality: Traits and qualities
2. Influence: Relationship between individuals
3. Behaviour: Actions of leaders
4. Situation: A situation in which the leader is faced with problems and issues.
5. Contingency: Dependence on behaviour, personality influence exerted by the leader on subordinates and situation.
6. Transactional: Role differentiation and interaction between the leader and subordinate.
7. Anti-Leadership: Absence of a real concept of leadership
8. Culture: Culture of the entire organisation
9. Transformational: Use of influence to create intrinsic motivation

In the strategic management process, the role of a leader is critical. The whole process is linked to the strategic role of a leader, who formulates, innovates, conceives, plans and is also the implementer.

1.6.2 Characteristics of a Leader

A leader who has to implement a strategy should have the following characteristics:

- (1) **Be a Visionary:** A leader should have a clear vision of where he or she wants to take the organisation and its standing in the market. The person should be willing to take risks.
- (2) **Have Knowledge, Skill, and Attitude:** A leader should have thorough knowledge about the ins and outs of an organisation and have excellent decision-making and conceptual skills. Attitude matters a lot. The attitude of their leader greatly influences employees.
- (3) **Be Well-informed:** A leader should be clearly aware of the environment, internally and externally -- about the market scenario nationally and globally.

- (4) **Motivate Others:** A leader should encourage strategic thinking and promote intellectual activities in all. Participation of subordinates and employees is very important.
- (5) **Empower Others:** The person should lead the organisation by empowering employees. People involved in the execution and implementation of the strategies should have the power and authority to take decisions.
- (6) **Change Agent:** Leaders lead the employees by being an agent of change. They motivate, support and guide employees to embrace change. Lead at the levels of the organisation so that subordinates become agents of change.
- (7) **Innovator:** A leader should emphasise on innovation to implement any strategy. They should have creative and unique ideas to lead.
- (8) **Foster Business Ethics:** Values and culture of an organisation affect the implementation of a strategy. A major task of leadership is to inculcate personal values and business ethics in the organisation. Values and ethics shape the corporate culture and influence a business's politics, power, and social responsibility.

Here are a few examples of leaders and their leadership styles.

Examples:

- (1) Ratan Tata: Democratic, delegate's authority
- (2) L. N. Mittal: Highly entrepreneurial and aggressive
- (3) Aditya Birla: Participative with a family approach
- (4) Azim Premji: Focuses on developing people
- (5) N. R. Narayan Murthy: Professional and simplicity

Dimensions of Leadership Style	Suitable Strategy
(1) Risk-taking: Willingness to take risky decisions	Entrepreneurial and expansionist.
(2) Technocracy: Use of planning, qualified personnel, and techniques.	Expansion and growth strategy.
(3) Organicity: Extent of organisational structural flexibility	Expansion and growth strategy.

(4) Participation: Involvement of managers	Expansion, growth, stability, and retrenchment strategy.
(5) Coercion: Domination by top management	Stability and retrenchment strategy.

Five dimensions of leadership styles have been developed, as stated above. However, no specific style of leadership or approach can be said to be the best fit for the implementation of strategies.

The crux of the matter is that leaders should match their leadership style to the environment in which their company exists and the strategies adopted.

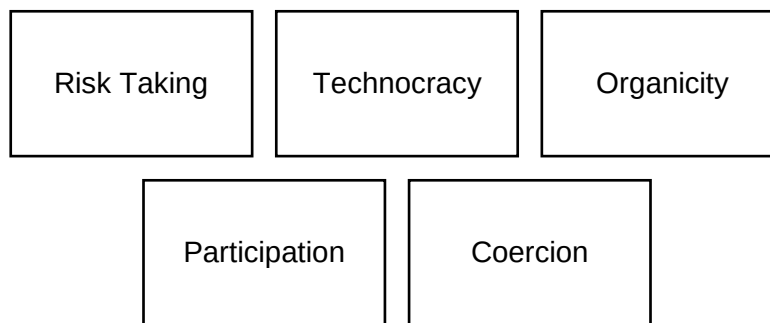


Fig 4: Dimensions Of Leadership Style

1.7 Strategic Business Units (SBU'S)

Strategy is like the game of chess. Where we keep our eyes on the moves of our opponents. So, in business, we are to keep track of our competitors.

The word strategy has been derived from the Greek word strategos. It means generalship. As the general directs the military force, the strategy gives direction to the whole company. So, strategy is not simply planning. It is planning with an external orientation, keeping in mind the direction the organisation should take vis-a-vis the competition.

7.1 Levels of Strategy

- In the strategic management process, a strategy is formulated and implemented at three different levels to have a strategic fit between the organisation and the environment. Corporate level

- SBU level
- Functional level

CORPORATE LEVEL STRATEGY:

At this level, the strategy is formulated for the company as a whole. Here, the vision emerges. The corporate-level strategy sets the business ethics, integrity, and social commitment. The corporate-level strategy requires conceptualisation, creativity, and innovation. To be successfully implemented, it involves high risks and high costs.

BUSINESS LEVEL STRATEGY(SBU):

Business strategies of companies with multiple businesses and those of smaller companies with a single business are similar. The business strategy sets performance goals, evaluates competitors' actions and specifies actions the company must take to maintain and improve its competitive advantages. Typical strategies are to become a low-price leader, achieve differentiation in quality or other desirable features, or focus on promotions. Business-level strategies are invariably action-oriented.

When a company performs different businesses or has a portfolio of products, the company organises itself in the form of strategic business units (SBUs). This is done in order to segregate different units, each unit performing similar activities. This way, many companies are organised on the basis of operating units. These are known as strategic business units.

FUNCTIONAL LEVEL STRATEGY:

The corporate and SBU operate at different functional levels. Strategies for these levels have to be aligned and integrated. The SBU level deals with a relatively smaller area that provides objectives for a specific function, like marketing, finance, production, human resources, and operations. These are more specific and have a defined scope for each functional area. All the functional areas need to be interlinked to achieve organisational goals. The functional strategies operate under the SBU Level. The operational level strategies originate from the functional level strategies. Figure explains these levels clearly.

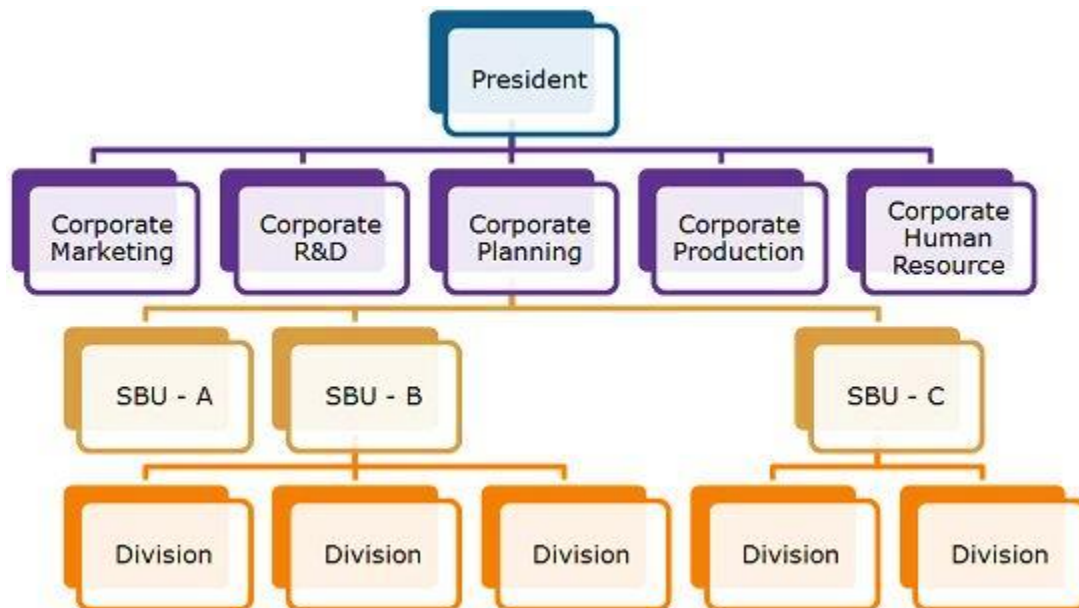


Fig 5: Levels of Strategy

1.8 Summary

Let us recapitulate the important concepts discussed in this topic:

- Strategy formulation is the route companies take to achieve their vision and mission.
- All employees of an organisation should be communicated about the strategic planning of a company.
- A strategic plan facilitates a company to examine its resources, their allocation and maximise ROI (return on investment).
- The strategic plan helps an organisation to have direction and focus. Else, a company will be reactive rather than proactive.
- The steps for strategy formulation are define the strategic mission, analyse its external as well as internal environment, evaluate its strategic alternatives and choices, implement strategies, and evaluate and control the plan.
- Formulating the strategic mission ensures that the company is able to identify its core ideology, the nature of its business, its competitive advantage, and its envisioned future.

- Strategic implementation is execution, putting into action, to make an operational strategy which has been chosen in the strategic formulation phase.
- A strategy may be well conceived and formulated, but there may be problems in implementation. These problems may arise because of personal egos among employees, lack of coordination among different functional areas or unhelpful top management.
- In the strategic management process or in implementing strategy, the role of a leader is critical. The whole process of implementing a strategy is linked to the strategic role of a leader.
- Strategies must be evaluated and reformulated, if required, on a regular basis as there are changes business environment.
- Strategic leadership is the ability to anticipate, envision, and empower others to create strategic change.

1.9 Glossary

Let us have an overview of the important terms mentioned in the topic:

- ***Environmental Analysis:*** It is an analysis and evaluation of the strategic environment facing the organisation.
- ***Evaluation:*** It is the process of comparing and assessing a parameter against a specific criterion (or criteria), that is, a norm, standard, regulation, or expectation.
- ***Mission:*** It is a statement of purpose that provides the foundation for an organisation's existence.
- ***Vision:*** Vision is the statement prepared by every business to plan its activities and goals for the coming years. Vision is set for the long term, and the strategies and policies of the company are framed according to it.
- ***Strategic Objective:*** A defined outcome that an organisation must achieve to make its strategy succeed.
- ***Organisation Culture:*** It is the value system and norms followed by employees in an organisation. It reflects the way employees interact with each other and with stakeholders outside an organisation.

- **Strategic Alternatives:** Potentially actionable options for achieving the direction of the organisation. Options should be consistent with the external and internal dimensions of an organisation to leverage its strengths to exploit available opportunities.
- **Strategic Leadership** is the ability to anticipate, envision, and empower others to create strategic change.

1.10 Case Study

Strategic Management of DELL

Dell Technologies was founded by Michael Dell in 1984. It was earlier known as PC's s Limited.

Product Line: The company produces Software, Hardware, Workstations, Electronics, Printers, Tablets, Mobile Devices, Networking, Storage Devices, Servers, Security products and Information Technology products.

Uniqueness: Dell delivered unmatched service for their customers in their first PC, Turbo PC. Dell provided a 'risk-free returns and next day at home product assistance'. Dell's growth trajectory soared high as it provided a very specialised feature of the longest battery life by providing a lithium-ion battery, which its competitors could not provide.

Strengths: Emphasises on customer intimacy (product differentiation and customer relationship management). Used the Direct Model Approach to provide customisation to customers to get rid of distribution channels and retailers. They provided customers with payment options and 24/7 tech support. They also provided a warranty on the whole package.

Weaknesses: Wait for their customisation. Dell did not do much innovation. The products ready for sale were not thoroughly checked, which showed weak internal control.

Opportunities: Should get the loyalty of university students, which is their biggest target market. There are opportunities in markets such as Asia and Africa, where low-cost products are of extreme importance.

Threats: New Technology Competition, No retail stores, Best differentiation strategy of Apple, other brands can compete by achieving low cost

SWOT Analysis: Looking at the strengths, weaknesses, opportunities, and threats, it's obvious that Dell is not competitive anymore. Dell is slowly losing its competitive edge because of its highly innovative competitors and because competitors, such as Apple, are able to capture the consumer's attention by offering differentiated and innovative products.

However, Dell has an advantage due to its direct selling strategy. The benefits it is giving to its employees include medical benefits, retirement plans, saving plans & specific discounts on computers & other products.

Discussion Questions:

1. Identify strengths, weaknesses, opportunities, and threats for Dell.
2. What type of SBUs can be justifiable for Dell computers?

The advantages derived by implementing Strategic management principles are broadly classified as ____ and ____ benefits.

Ans: Financial & non-financial

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